

Generative AI's Act Two

From Technology Hammer to Real Value

Sequoia Capital Analysis | September 2023

Six Decades of Technological Progress Converged to

Moore's Law (6 Decades): Delivered the compute horsepower to process exaflops of data.

The Internet (4 Decades): Accelerated by COVID, produced trillions of tokens of training data.

Mobile & Cloud Computing (2 Decades): Put a supercomputer in every human's palm.

GenAI Startups Surpassed \$1B Revenue Faster Than

Rapid Commercial Traction Despite Skepticism

Generative AI achieved >\$1 billion in revenue from startups in months, not years. This milestone proves real commercial demand exists beyond the hype cycle.

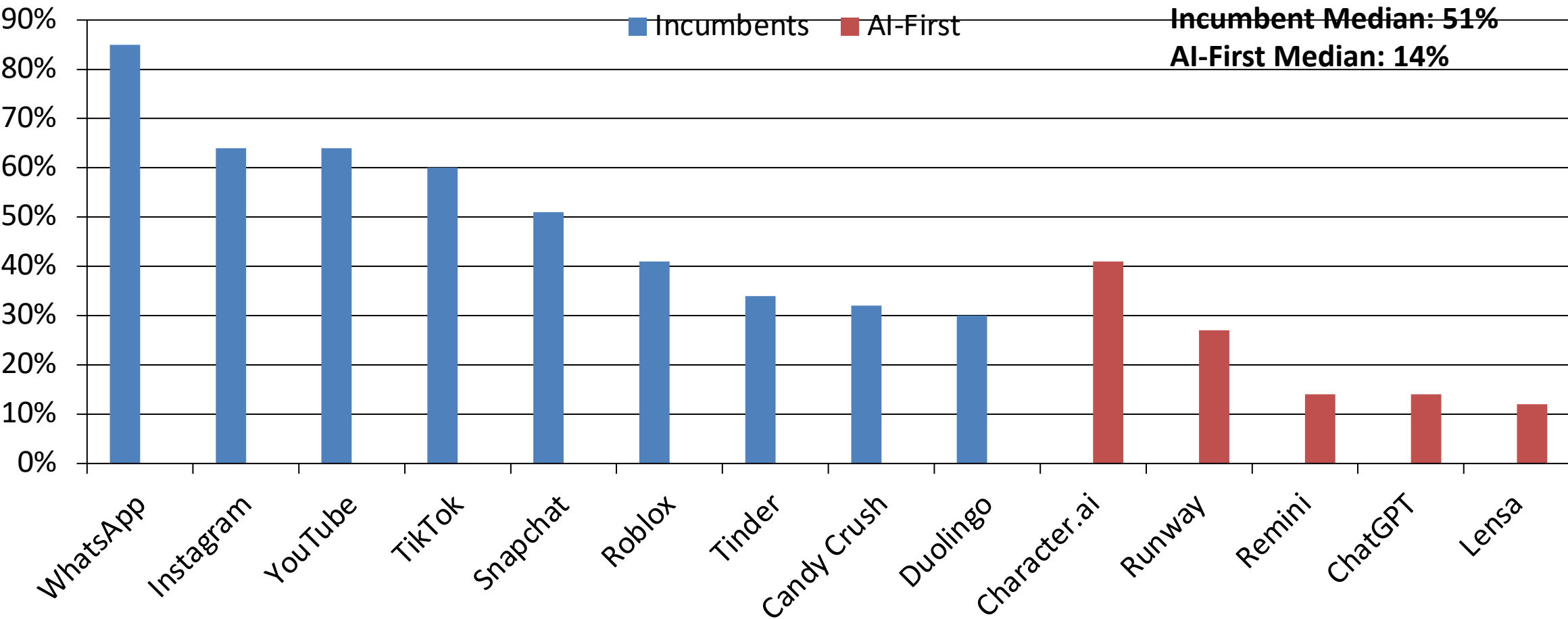
Standout Success Examples:

ChatGPT: The fastest-growing application in history, demonstrating strong product-market fit among students and developers.

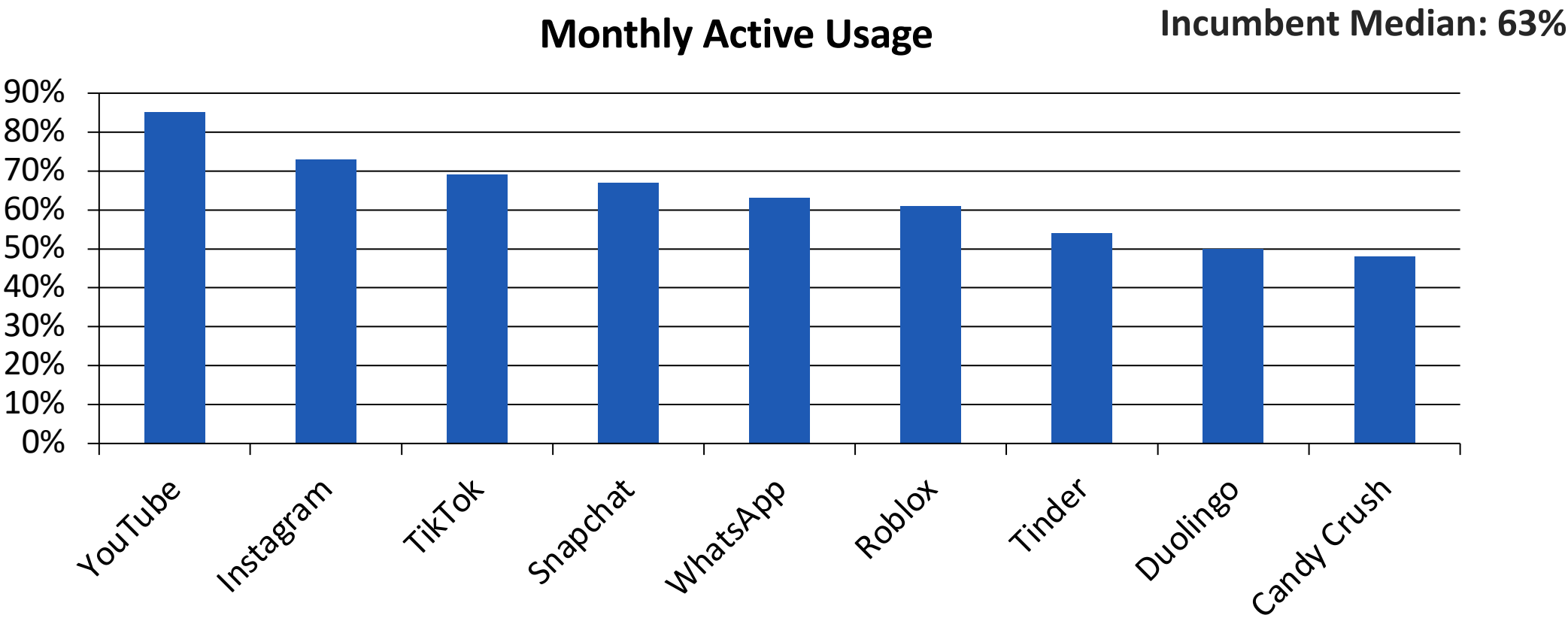
Midjourney: Reported hundreds of millions of dollars in revenue with a highly efficient team of just 11 people.

Character.ai: Popularized AI entertainment and companionship; users spend an impressive average of 2 hours per session in-app.

AI-First Apps Show 14% Median Retention vs. 51% for



YouTube Leads Incumbents at 85% Monthly Active Us



This extremely high engagement bar demonstrates the level of retention and usage AI apps must achieve to rival established consu

Act 1 Was Technology-Out; Act 2 Is Customer-Back

Act 1: Technology-Out

Foundation models treated as the entire solution.

Novelty apps and lightweight demonstrations of cool technology.

Thin wrappers around foundation models.

Resulted in poor user retention (14% median) and lack of stickiness.

Act 2: Customer-Back

Foundation models as a piece of a comprehensive solution.

Introduces new editing interfaces to make workflows stickier.

Multi-modal workflows (integrating text, image, code, etc.).

End-to-end problem solving rather than simple wrappers.

Exemplars: Harvey (legal), Glean (enterprise search), Character & Ava (companionship).

Market Map Reorganized by Use Case, Not Model Modality

A Conceptual Shift in Market Organization

Previous focus: Organized by model modality (e.g., text, image, code).

Current focus: Organized by use case, reflecting the shift from 'technology hammer' to actual value delivery.

The Move Toward Multi-Modal Applications

The reorganization mirrors the broader Act 1 to Act 2 transition: applications are increasingly multi-modal and workflow-oriented.

Use-Case Driven Categories (Act 2 Exemplars):

Harvey: Custom LLMs for elite law firms (Legal)

Glean: Crawling and indexing workspaces (Enterprise Search)

Character & Ava: Deep engagement and personalization (Companionship)

Key Takeaways: What Separates Winners in Act Two

1. Retention is the critical challenge

AI-first apps face a severe gap: 14% median retention vs. 51% for incumbents (a 3.6x disadvantage).

2. Foundation models are components, not the whole product

The model alone is insufficient; it must be integrated into comprehensive, sticky solutions.

3. Multi-modal, workflow-integrated solutions will win

Act 2 winners combine modalities and introduce new editing interfaces to embed into user workflows.

4. Real demand exists despite hype cycles

The >\$1B revenue milestone for generative AI startups proves strong commercial viability.

5. End-to-end human problems define Act 2

Transitioning from a 'technology-out' hammer to a 'customer-back' model solves actual user pain points.